⬇ ₹150 ⬆ ₹50 Risk Reward Ratio = 3 : 1	⬇ ₹50 ⬆ ₹150 Risk Reward Ratio =1 : 3

In markets, we don't get the potential loss or expected return like this. We assume them based on our experience and understanding of the markets. Traders also do backtesting for this.

For instance, let's say today is 1st January 2011. To back test, we go to 1st January 2012 and start applying the strategy that we are using currently. Then write down the trades and calculate, average profit : average loss. Secondly, calculate how many of the trades were profitable or how many times we made profits : how many times we made losses. Say we have average losses ₹300 and average profits ₹500. This means historically we had a 3 : 5 ratio.
Similarly, if while investing we expect that our ₹100 might come down by ₹20 and expected profit is also of ₹20, the ratio will be 1 : 1.

An ideal risk to reward ratio should be 1 : 3. But even with a 1 : 1 ratio if the winning rate is 75%, the overall profitability with the trade is good to have. Risk to reward ratio helps us analyse that we are not taking out sized risks to generate average returns in the market. It forces us to think in terms of risks and how much risk are we taking in each trade. It forces discipline in a trader.

POSITION OF UNLIMITED LOSS

Position of Unlimited losses is whenever in derivatives we have a position where there is no limit to how much loss we might have to pay. For example, when we short a Futures contract, or when sell options, there is no limit how much we may incur as loss. These are called Positions of unlimited losses. As a risk management practice, these are to be strictly avoided. Whenever, you are selling options that must be accompanied by buying another option at different strike price to limit losses.